

project a 28% cut in payment processing margin primarily due to reduced business volumes and an adverse mix as the share of high-yielding wallet business sharply declines," it states in its report. Global financial services firm UBS, in its February report, expects FY25 to be weak for Paytm. OCL, the holding company, has already guided for a margin hit of ₹300-500 crore on its annual Ebitda. But Madhur Deora, Paytm's President and Group CFO, is optimistic. "Over time, we expect our profitability to keep improving, because many of the relationships that we have currently with PPBL, they're all solvable through third-party partnerships," he told investors during a February call.

But, there will be a cost. "We expect Paytm to increase its marketing spend to win back lost customers, resulting in elevated Ebitda losses in FY25, which drives our EPS cuts," the UBS report says. Sharma will have to bank on higher-margin products like bigger ticket size personal loans as their Ebitda contribution is significantly higher than postpaid loans. Paytm claims lending and advertising in particular contribute a significant amount of high-margin monetisation.

OCL's stock, trading at ₹412 a share with a market valuation of close to ₹26,200 crore as on April 8, 2024, has seen a big fall from its IPO price of ₹2,150 a share. Investors will be watching Paytm's ability to recover the lost business at the earliest. Experts say it all seems good if Paytm has infinite money. But being a publicly listed company and the fact that its shares are now priced at nearly one-fifth of what they listed at, any equity dilution would impact the market ratios.

Paytm looks particularly vulnerable as it would be difficult to obtain licences from regulators for an NBFC, AMC or even insurance



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MADHUR DEORA

PRESIDENT & GROUP CFO,
PAYTM, DURING A CALL
WITH INVESTORS



"[Sharma] needs to focus on the one or two businesses that he believes has the potential to scale and achieve market leadership"

**BARNIK
CHITRAN MAITRA**

MANAGING PARTNER,
ARTHUR D. LITTLE, INDIA
AND SOUTH ASIA

firm, dashing Sharma's hopes of owning a bank. Maitra of ADL says Paytm's international investors would be happy with a good buyout or M&A offer, which allows them to capture some upside. "If I were a sensible private equity or a venture capital investor in Paytm, I would welcome a consolidation with a strategic player with deep pockets and the intent of investing in the growth of the business," he says.

The other option for Sharma is to go the whole hog as a platform company as it already has a brand. "They have the ability to build a new product or business, but they'll have to completely reinvent themselves, which is a very hard thing as regulators, investors, and the market are against it," says uTrade's Nandwani.

Sharma is focussing on innovation to take Paytm to the next level, betting big on the power of Gen AI. "We believe that Paytm will have to become a completely AI company," he said recently. At a technology conference in Tokyo, his first public appearance after RBI's action, he emphasised the importance of taking charge of the situation and business initiative instead of relying solely on teammates or advisors, acknowledging that they may not always have the correct understanding. As he works hard to fix the leaky boat, new challenges may emerge.

While Paytm continues to chase new opportunities and recalibrate its strategy, the rapidly changing operating environment will throw new curveballs. Sharma could take a leaf out of Jamie Dimon's playbook. "I don't know what will happen in the future, but what I focus on is keeping JP Morgan really strong and keeping my regulators happy," the CEO of JPMorgan Chase & Co. had said.

Will Sharma be able to do a Dimon? Only time will tell. **BT**

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